

back to the reference of compound interest being magical, but this time including an additional caution: Compound interest is magical...but only if it's working for you, not against you.

In simple terms, when you have debt, be it a credit card, car note, student loan, mortgage, and so on, the longer you take to pay it off, the more expensive that debt will be. Depending on the interest rates on your debt and how interest is calculated (daily, monthly, annually, etc.), compounding can make your debt balance grow out of control if you don't take action. In fact, you can end up paying more in interest alone than the initial amount of money you borrowed! Using the rule of 72 and dividing 72 by your interest rate can tell you how long it could take for your debt to double, though this only applies if you're making no payments on the debt. Adding in payments just makes the math a little more complex than dividing by 72.

Making only the minimum payments is better than nothing, but it can still cause your debt to spiral out of control since interest continues accruing on the remaining amount.

For example: Let's say you owe \$5,000 in credit card debt at a 20% interest rate and have a monthly minimum payment of \$125. During your first month, you'd owe about \$83 in interest alone, so only \$42 of your \$125 payment would actually pay down the principal of your debt. If you continue to make the minimum payments, it would take you 5 years and 7 months to pay off this debt, and you'd pay an extra \$3,308 in interest alone on top of paying back the \$5,000!

We'll talk more about strategies to pay off debt in the next section of this book but get ready to take off your earrings and roll up your sleeves—because knowing what you know now about compounding, if you have debt (especially high-interest debt), it's time to get ready to give it a serious beat-down.

Take Action

1. Take some time to run your own scenarios on compounding as it relates to your investments or any debt you might have.
2. Google “Compound interest calculator” or “Debt repayment calculator” and pick the one that is easiest and most visually appealing